

Afterward, everyone said, “That was incredibly obvious.” Most of the great trades are incredibly obvious. It was the same in late 2007. In my mind, it was clear that the financial system was imploding and that most market participants hadn’t noticed.

Did you go short equities then?

Equity markets would eventually notice, but being short equities is a hard trade because they might still keep going up for a long time. After a bull market that goes on for years, who is managing most of the money? The bears are all unemployed; they’re not managing any money at all. You have a few very flexible smart people, but they run relatively small amounts of money; so they don’t matter, either. The managers who are relentlessly bullish and who buy more every time the market goes down will be the ones who end up managing most of the money. So, you shouldn’t expect a big bull market to end in any rational fashion.

The smart managers will be managing less because they don’t look as good as the bulls, since they’re going to have lower net long exposure?

Right. Because the bulls control most of the money, you should expect the transition to a bear market to be quite slow, but then for the move to be enormous when the turn does happen. Then the bulls will say, “This makes no sense. This was unforeseeable.” Well, it clearly wasn’t unforeseeable.

I have to laugh when I hear people say it was unforeseeable that housing prices could go down. I think, “Did you ever look at a housing price chart?” If you look at a long-term inflation-adjusted chart of housing prices, you can see that excluding the postdepression bust, since the 19th century, housing prices consistently moved in a sideways range, until the mid-2000s when inflation-adjusted prices nearly doubled in a few years. It sticks out like a mountain in a plateau. Yet people can claim with a straight face that they were shocked that housing prices could go down after that abnormal surge.

If you live in a world where everyone assumes that everything goes up forever, then it is inconceivable that prices might go down. Big price changes occur when market participants are forced to reevaluate their prejudices, not necessarily because the world changes that much. The